# BOARD QUESTION PAPER: JUNE 2025
# SECRETARIAL PRACTICE

**Time: 3 Hrs.** **Max. Marks: 80**

***Notes:*** *(1) All questions are compulsory.*
*(2) Figures to the right indicate full marks for the questions.*
*(3) Figures to the left indicate question numbers.*
*(4) Answer to every question must be started on a new page.*

---

**Q.1. (A) Select the correct answer from the options given below and rewrite the sentences:** **(5)[20]**

1. The _____ is paid on borrowed capital.
   (a) interest (b) discount (c) dividend

2. Deposit can be accepted for a minimum of 6 months and maximum for _____ months.
   (a) 36 (b) 13 (c) 30

3. Bearer Debenture holders get interest through _____.
   (a) interest warrant (b) refund order (c) interest coupon

4. _____ has to apply for ISIN.
   (a) Depositors (b) Depository Participant (c) Company

5. A financial market is a market in which people trade _____ and derivatives at low transaction costs.
   (a) gold (b) financial securities (c) commodities

**(B) Match the pairs:** **(5)**

| | Group 'A' | | Group 'B' |
|---|---|---|---|
| (a) | Bonus shares | (1) | Electronic Clearing Service |
| (b) | Regret Letter | (2) | Debenture holder |
| (c) | ECS | (3) | Non-allotment of shares |
| (d) | Dividend | (4) | Electronics Co-operative Society |
| (e) | SEBI | (5) | One of the oldest Stock Exchange in India |
| | | (6) | Capitalisation of profit |
| | | (7) | To protect the interest of investors in securities market |
| | | (8) | Shareholder |
| | | (9) | Capitalisation of loan |
| | | (10) | Allotment of shares |

**(C) Write a word or a term or a phrase which can substitute each of the following statements:** **(5)**

1. The ratio of different sources of funds in the total capital.
2. A document of title of ownership of shares.
3. Period within which debenture certificate must be issued by a company.
4. Agreement between Company and Deposit Trustee.
5. A bill which is issued by Reserve Bank of India on behalf of Government of India.

**(D) Correct the underlined word/s and rewrite the following sentences:** **(5)**

1. Dividend must be paid within <u>60 days</u> of its declaration.
2. <u>FPO</u> refers to offering of shares to the public for the first time.
3. When there is <u>recession</u> in economy, sales will increase.
4. Deposits are the <u>internal</u> source of financing.
5. Bond is a source of <u>short</u> term finance.

**Q.2. Explain the following terms / concepts (Any FOUR):** **[8]**

1. Bear 2. Investment Decision 3. Borrowed Capital
4. Dematerialization 5. Right Issue 6. Primary Market

**Q.3. Study the following cases / situations and express your opinion (Any TWO):** **[6]**

1. Mr. Jatin is a practising Company Secretary offering advisory services to companies, institutions, etc. on corporate laws including Companies Act. He has received a few queries from his clients. Please assist Mr. Jatin in answering them:
   a. BDI Bank wants to offer Depositary Participant (DP) services. Whom should they approach for registering as DP?
   b. KM Financial wants to offer Debenture Trustee services. Where should they apply for getting registered?
   c. TT Company Ltd. wants to issue an IPO. Should it get itself registered with SEBI?
2. Sai Company Ltd. decides to pay interim dividend:
   a. Is the Board justified to decide interim dividend of ₹5/- per share even though profits till date are insufficient?
   b. Can the Board declare dividend out of free reserves?
   c. Can the Board declare dividend out of Capital?
3. Moon Private Ltd. Company wants to raise funds through deposits:
   a. Can the company accept deposits from the public?
   b. Which document should the company issue to invite deposits?
   c. What is the maximum period for which company can accept deposits?

**Q.4. Distinguish between the following (Any THREE):** **[12]**

1. Fixed Capital and Working Capital
2. Initial Public Offer and Further Public Offer
3. Final Dividend and Interim Dividend
4. Money Market and Capital Market

**Q.5. Answer in brief (Any TWO):** **[8]**

1. State the contents of a Share Certificate.
2. Explain any four advantages of Depository System to investor.
3. State any four terms and conditions regarding acceptance of deposits.

**Q.6. Justify the following statements (Any TWO):** **[8]**

1. Preference shares do not carry normal voting rights.
2. Debenture Trustees are appointed by a company while issuing debentures.
3. Dividend is paid out of profits of the company.
4. Depository provides easy and quicker transfer of shares.

**Q.7. Attempt the following (Any TWO):** **[10]**

1. Draft a reply letter resolving the query of a member on low rate of dividend.
2. Write a letter to the debenture holder regarding payment of interest through Interest Warrant.
3. Draft a letter to a depositor regarding repayment of his deposits.

**Q.8. Answer the following questions (Any ONE):** **[8]**

1. Define debenture and explain the features of debentures.
2. Explain the classification of share capital.